

TRADE FREE AND FAIR

Global Geography 12

GENERAL ECONOMIC PROBLEMS

1. What is produced and how? (which resources are used and how are they used)
2. What is consumed and by whom? (who gets what and how much they receive)
3. Why are resources idle? (unemployment)

WHAT IS TRADE?

- ◉ Trade is the action of buying and selling goods and services.

Example: Joan grew red peppers and sold them at the market to Jane for a monetary exchange. (don't copy)

- ◉ Most trade is no longer conducted by countries, but by multinational corporations (MNLs).

TWO MAIN TYPES OF TRADE

- Free Trade

- Fair Trade

(please construct a table in your notes
for the two)

FREE TRADE

- ◉ Is a form of trade where there are agreements in place, and tariffs are lowered. Governments do not discriminate against imports allowing for global markets like today.
- ◉ Product prices are susceptible to market fluctuations.
- ◉ Unfortunately, the bigger the company (MNLs), the better the trade deals.

FREE TRADE ADVANTAGES:

- ⦿ Allows for variety in products.
- ⦿ Innovation : ability to create new products, ex. GMOs.
- ⦿ International cooperation.
- ⦿ Creates employment and economic growth.

FREE TRADE DISADVANTAGES:

- ◉ Labour laws may not exist or not be enforced resulting in forced labour/child labour, low wages and long work hours.
- ◉ Product safety; recalls.

FREE TRADE DISADVANTAGES:

- ◉ Environmental laws may not exist or be enforced resulting in environmental catastrophes.
- ◉ Multinational Corporations; outsourcing business (we have experienced this first hand in N.S.)

WHAT IS A FREE TRADE AGREEMENT?

- ◉ A pact between two or more countries or areas in which they agree to lift most or all tariffs, quotas, special fees and taxes, and other barriers to trade between them, NAFTA - North American Free Trade Agreement

FAIR TRADE:

“FAIR TRADE IS A TRADING PARTNERSHIP, BASED ON DIALOGUE, TRANSPARENCY AND RESPECT, THAT SEEK GREATER EQUITY IN INTERNATIONAL TRADE.”

FAIR TRADE ADVANTAGES

(refer to the 8 principles of fair trade)

- ◉ Money goes to the producers (the workers)
- ◉ Fair payment/living wage for the products
- ◉ No forced labour—People are not enslaved
- ◉ Child labour is against regulations
- ◉ Money goes back into the community to support health services, education and infrastructure.
- ◉ Programs deliberately designed to improve environmental sustainability

FAIR TRADE ADVANTAGES CONT'D.:

- ◉ Prices remain constant to cover cost of production and cost of living.
- ◉ Employees have access to credit to create cooperatives.
- ◉ Long-term stable contracts.

FAIR TRADE DISADVANTAGES:

- ⦿ Certification process may cause companies to lose interest.
- ⦿ Tariffs may be higher.
- ⦿ Products may not be available everywhere.

CHALLENGE

